

THE UNIVERSITY OF TEXAS AT DALLAS

ANNUAL FINANCIAL REPORT

UNAUDITED

FISCAL YEAR ENDED AUGUST 31, 2017



The University of Texas at Arlington ♦ The University of Texas at Austin ♦ The University of Texas at Brownsville ♦ The University of Texas at Dallas ♦ The University of Texas at El Paso ♦ The University of Texas - Pan American ♦ The University of Texas of the Permian Basin ♦ The University of Texas at San Antonio ♦ The University of Texas at Tyler ♦ The University of Texas Southwestern Medical Center at Dallas ♦ The University of Texas Medical Branch at Galveston ♦ The University of Texas Health Science Center at Houston ♦ The University of Texas Health Science Center at San Antonio ♦ The University of Texas M. D. Anderson Cancer Center ♦ The University of Texas Health Science Center at Tyler ♦ The University of Texas System Administration

THE UNIVERSITY OF TEXAS AT DALLAS
FINANCIAL STATEMENTS
(WITH DETAILED SUPPORTIVE SCHEDULES)

Presented herein are the financial statements with detailed supportive schedules for The University of Texas Dallas for the year ended August 31, 2017. These Statements and detailed supportive schedules have been prepared in compliance with applicable State statutes, Governmental Accounting Standards Board pronouncements, and the Texas Comptroller of Public Accounts' Annual Financial Reporting Requirements.

This "detailed internal report" supplements the consolidated published Annual Financial Report of The University of Texas System and is intended to be for limited distribution primarily to financial and academic officers of the University who need access to the details included herein. It also provides an historical record of transactions relating to this particular institution.

The Annual Financial Report for public distribution for The University of Texas System includes primary statements on a consolidated System-wide basis, including footnotes and Managements' Discussion and Analysis.

THE UNIVERSITY OF TEXAS SYSTEM
BOARD OF REGENTS
As of August 31, 2017

Officers

Paul L. Foster, Chairman
R. Steven “Steve” Hicks, Vice Chairman
Jeffery D. Hildebrand, Vice Chairman
Francie A. Frederick, General Counsel to the Board of Regents

Members

*Terms scheduled to expire February 1, 2019**

Paul L. Foster	El Paso
Jeffery D. Hildebrand	Houston
Ernest Aliseda	McAllen

*Terms scheduled to expire February 1, 2021**

R. Steven “Steve” Hicks	Austin
David J. Beck	Houston
Sara Martinez Tucker	Dallas

*Terms scheduled to expire February 1, 2023**

Janiece Longoria	Houston
Kevin P. Eltife	Tyler
James Conrad “Rad” Weaver	San Antonio

*Term scheduled to expire May 31, 2018**

Jaciel Castro (Student Regent)	San Antonio
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*Each Regent’s term expires when a successor has been appointed, qualified, and taken the oath of office. The Student Regent serves a one-year term.

THE UNIVERSITY OF TEXAS SYSTEM
SENIOR ADMINISTRATIVE OFFICIALS
As of August 31, 2017

William H. McRaven, Chancellor

David E. Daniel, Deputy Chancellor

Raymond S. Greenberg, Executive Vice Chancellor for Health Affairs

Scott C. Kelley, Executive Vice Chancellor for Business Affairs

Steven W. Leslie, Executive Vice Chancellor for Academic Affairs

Stephanie A. Bond Huie, Vice Chancellor for Strategic Initiatives

Barry R. McBee, Vice Chancellor and Chief Governmental Relations Officer

Randa S. Safady, Vice Chancellor for External Relations

Daniel H. Sharphorn, Vice Chancellor and General Counsel

William H. Shute, Vice Chancellor for Federal Relations

Amy Shaw Thomas, Vice Chancellor for Academic and Health Affairs

Thomas Britton “Britt” Harris IV, Chief Executive Officer and Chief Investment Officer–UTIMCO

THE UNIVERSITY OF TEXAS AT DALLAS

PRINCIPAL ADMINISTRATIVE OFFICERS

As of August 31, 2017

Richard C. Benson	President
Hobson Wildenthal	Executive Vice President
Inga H. Musselman	Interim Provost
Frank Feagans	Vice President of Information Technology
Rafael Martin	Interim Vice President for Research
Calvin D. Jamison	Vice President for Administration
Terry A. Pankratz	Vice President for Budget and Finance
Gene Fitch	Vice President for Student Affairs
Amanda O. Rockow	Vice President for Public Affairs
John Walls	Interim Vice President for Communications
George Fair	Vice President for Diversity and Community Engagement
Kyle Edgington	Vice President for Development and Alumni Relations

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The University of Texas at Dallas
Exhibit A Statement of Net Position
As of August 31, 2017

	Current YearTotals	Prior YearTotals
ASSETS AND DEFERRED OUTFLOWS		
Current Assets:		
Cash & Cash Equivalents	102,877,537.09	75,002,693.41
Restricted Cash & Cash Equivalents	2,369,055.65	3,766,854.24
Balance in State Appropriations	5,559,056.43	4,158,756.48
Accounts Receivable, Net:		
Federal (allow. \$0.00 in 2017 & \$0.00 in 2016)	7,690,117.89	17,873,596.16
Other Intergov. (allow. \$0.00 in 2017 & \$0.00 in 2016)	293,793.67	535,416.69
Student (allow. \$2,250,880.38 in 2017 & \$1,901,403.71 in 2016)	40,547,791.46	38,456,817.41
Interest and Dividend Receivables	505,307.92	494,903.67
Contributions (allow. \$238,160.89 in 2017 & \$201,166.51 in 2016)	4,525,056.99	3,822,163.73
Other (allow. \$393,994.92 in 2017 & \$785,038.13 in 2016)	10,560,166.95	9,839,889.39
Due From System Administration	28,792,402.73	96,410,241.27
Due From Other Institutions	852,584.78	477,166.35
Due From Other Agencies	613,616.86	779,954.30
Inventories	279,376.46	245,109.21
Loans & Contracts (allow. \$341,162.72 in 2017 & \$495,119.80 in 2016)	11,119,485.38	10,875,639.54
Other Current Assets	10,596,616.64	9,017,993.65
Total Current Assets	<u>227,181,966.90</u>	<u>271,757,195.50</u>
Noncurrent Assets:		
Restricted Investments	30,084,521.08	31,856,528.26
Loans & Contracts (allow. \$280,092.21 in 2017 & \$290,568.69 in 2016)	1,451,303.03	1,254,173.25
Funds Held by System Administration (Restricted)	482,912,581.37	436,196,714.09
Contributions Rec. (allow. \$201,730.33 in 2017 & \$115,294.78 in 2016)	3,832,876.25	2,190,600.80
Unrestricted Investments	158,526,936.60	159,811,309.70
Gross Capital/Intangible Assets	1,636,736,151.01	1,462,594,131.08
Accumulated Depreciation/Amortization	(556,985,839.31)	(487,619,539.14)
Total Noncurrent Assets	<u>1,756,558,530.03</u>	<u>1,606,283,918.04</u>
Total Assets	<u>1,983,740,496.93</u>	<u>1,878,041,113.54</u>
Total Assets and Deferred Outflows	<u>1,983,740,496.93</u>	<u>1,878,041,113.54</u>
LIABILITIES AND DEFERRED INFLOWS		
Current Liabilities:		
Accounts Payable and Accrued Liabilities	32,953,468.80	28,578,992.35
Salaries Payable	27,278,514.50	25,126,522.23
Due To System Administration	3,823,061.39	3,492,916.25
Due To Other Institutions	121,176.84	33,217.07
Due To Other State Agencies	26,141.88	24,790.44
Unearned Revenue	139,875,555.18	132,552,492.05
Employees' Compensable Leave - Current Portion	5,822,552.56	5,507,396.74
Notes, Loans, and Leases Payable	105,193.58	104,458.19
Payable From Restricted Assets	40,232.09	3,795,153.24
Assets Held for Others	594,739.24	533,416.27
Other Current Liabilities		19,362.24
Total Current Liabilities	<u>210,640,636.06</u>	<u>199,768,717.07</u>
Noncurrent Liabilities:		
Employees' Compensable Leave	4,136,273.30	3,282,976.79
Liability to Beneficiaries	3,949.71	3,814.89
Notes, Loans, and Leases Payable		105,193.58
Total Noncurrent Liabilities	<u>4,140,223.01</u>	<u>3,391,985.26</u>
Total Liabilities	<u>214,780,859.07</u>	<u>203,160,702.33</u>
Total Liabilities and Deferred Inflows	<u>214,780,859.07</u>	<u>203,160,702.33</u>
NET POSITION		
Net Investment in Capital Assets	1,079,645,118.12	974,764,940.17
Restricted for:		
Nonexpendable		
Permanent Health, True Endowments, and Annuities	266,761,918.29	269,637,602.00
Expendable		
Capital Projects	25,403,643.40	79,862,591.03
Funds Functioning as Endowment (Restricted)	37,236,789.45	23,527,747.77
Other Expendable	202,722,294.89	185,796,118.17
Unrestricted	157,189,873.71	141,291,412.07
Total Net Position	<u>1,768,959,637.86</u>	<u>1,674,880,411.21</u>

The University of Texas at Dallas
Exhibit B Statement of Revenues, Expenses, and Changes in Net Position
For the Year Ended August 31, 2017

	Current YearTotals	Prior YearTotals
Operating Revenues:		
Student Tuition and Fees	409,595,923.06	375,761,496.42
Discounts and Allowances	(100,825,686.60)	(93,082,535.74)
Federal Sponsored Programs	36,211,176.62	36,529,078.58
Federal Sponsored Programs Pass-Through from State Agencies	2,063,263.52	1,423,405.91
State Sponsored Programs Pass-Through from State Agencies	11,849,827.78	10,475,133.31
Local Sponsored Programs	59,639.22	71,630.32
Private Sponsored Programs	10,144,729.71	12,002,253.98
Sales and Services of Educational Activities	20,432,339.95	19,989,211.87
Auxiliary Enterprises	33,852,349.77	29,489,161.11
Other Operating Revenues	5,378,415.69	5,242,158.06
Total Operating Revenues	428,761,978.72	397,900,993.82
Operating Expenses:		
Instruction	192,808,403.78	176,131,897.44
Research	90,243,541.98	84,807,112.56
Public Service	9,748,170.14	10,187,004.28
Academic Support	67,232,483.90	68,023,602.09
Student Services	20,497,693.49	19,381,105.40
Institutional Support	41,193,293.03	41,599,228.38
Operations and Maintenance of Plant	35,277,933.97	34,821,575.98
Scholarships and Fellowships	36,605,647.44	30,706,417.29
Auxiliary Enterprises	45,501,167.68	40,848,855.01
Depreciation and Amortization	73,377,371.67	65,185,601.94
Total Operating Expenses	612,485,707.08	571,692,400.37
Operating Income (Loss)	(183,723,728.36)	(173,791,406.55)
Nonoperating Revenues (Expenses):		
State Appropriations	106,110,919.05	104,346,589.51
Federal Nonexchange Sponsored Programs	25,518,684.00	22,775,716.00
Federal Nonexchange Pass-Through		
State Nonexchange Pass-Through	7,728,439.51	32,383,099.00
Gift Contributions for Operations	12,737,150.13	26,523,353.21
Investment Income	32,628,251.90	34,229,857.39
Net Increase (Decrease) in Fair Value of Investments	35,819,835.66	(10,297,078.25)
Gain (Loss) on Sale of Capital Assets	(440,474.96)	(1,909,092.02)
Other Nonoperating Revenues	545,250.62	
Other Nonoperating (Expenses)	(549,111.29)	(387.69)
Net Nonoperating Revenues (Expenses)	220,098,944.62	208,052,057.15
Income/(Loss) Before Other Revenue, Expenses, Gains/(Losses), and Transfers	36,375,216.26	34,260,650.60
Gifts and Sponsored Programs for Capital Acquisitions	28,189,904.34	1,496,847.76
Additions to Permanent Endowments / Annuities	4,637,680.37	13,650,200.23
Reclass from/(to) Other Institutions	48,139,919.25	(53,709,858.23)
Capital Asset Purchases		
Transactions Between Funds		
Transfers Between Institutions & System, Debt Service - Mandatory	(56,901,622.49)	(47,145,363.08)
Transfers Between Institutions & System Admin. - Non mandatory	28,717,786.94	231,452,310.80
Transfers From Other State Agencies	5,879,412.31	476,141.64
Legislative Appropriations Lapsed	(959,070.33)	
Transfers Between Funds		
Change in Net Position	94,079,226.65	180,480,929.72
Beginning Net Position	1,674,880,411.21	1,493,290,213.49
Restatements		1,109,268.00
Beginning Net Position (As Restated)	1,674,880,411.21	1,494,399,481.49
Ending Net Position	1,768,959,637.86	1,674,880,411.21

The University of Texas at Dallas
Exhibit C - Statement of Cash Flows
For the Year Ended August 31, 2017

	Current Year Totals	Prior Year Totals
Cash Flows from Operating Activities:		
Proceeds from Tuition and Fees	310,602,211.27	285,599,903.94
Proceeds from Sponsored Programs	71,870,170.24	50,782,196.09
Proceeds from Auxiliaries	34,781,979.63	30,158,411.09
Proceeds from Other Revenues	26,366,721.34	24,830,539.14
Payments to Suppliers	(166,238,772.62)	(157,731,638.15)
Payments to Employees	(371,677,691.23)	(346,931,251.65)
Payments for Loans Provided	(36,450,309.95)	(35,439,836.57)
Proceeds from Loan Programs	36,009,334.33	35,466,048.21
Net Cash Provided (Used) by Operating Activities	(94,736,356.99)	(113,265,627.90)
Cash Flows from Noncapital Financing Activities:		
Proceeds from State Appropriations	103,751,548.77	107,985,245.99
Proceeds from Operating Gifts	10,391,981.42	31,058,355.18
Proceeds from Private Gifts for Endowment and Annuity Life Purposes	4,637,680.37	13,650,200.23
Proceeds from Other Nonoperating Revenues	545,250.62	-
Receipts for Transfers from System or Other Agencies	15,240,868.73	14,062,068.57
Payments for Transfers to System or Other Agencies	(1,556,198.18)	(4,988,446.57)
Payments for Other Uses	(545,250.62)	-
Proceeds from Nonexchange Sponsored Programs	33,247,123.51	55,158,815.00
Net Cash Provided by Noncapital Financing Activities	165,713,004.62	216,926,238.40
Cash Flows from Capital and Related Financing Activities:		
Nonmandatory Capital Related Transfers	136,687,608.69	95,681,248.97
Proceeds from Capital Appropriations, Grants, and Gifts	28,189,904.34	1,496,847.76
Proceeds from Sale of Capital Assets	84,329.15	37,463.65
Payments for Additions to Capital Assets	(177,194,304.99)	(130,750,979.73)
Payments of Principal on Capital Related Debt	(104,458.19)	(105,934.14)
Mandatory Transfers to System for Capital Related Debt	(56,901,622.49)	(47,145,363.08)
Net Cash Provided (Used) by Capital and Related Financing Activities	(69,238,543.49)	(80,786,716.57)
Cash Flows from Investing Activities		
Proceeds from Sales of Investments Invested by System	-	-
Proceeds from Interest and Investment Income	160,649.36	148,921.54
Proceeds from Interest and Investment Income Invested by System	32,417,942.93	34,012,650.12
Payments to Acquire Investments Invested by System	(7,839,651.34)	(76,587,460.06)
Net Cash Provided (Used) by Investing Activities	24,738,940.95	(42,425,888.40)
Net Increase (Decrease) in Cash	26,477,045.09	(19,551,994.47)
Cash and Cash Equivalents (Beginning of the Year)	78,769,547.65	98,321,542.12
Cash and Cash Equivalents (End of the Year)	105,246,592.74	78,769,547.65
Reconciliation of Net Operating Revenues (Expenses) to Net Cash Provided (Used) by Operating Activities		
Operating Income (Loss)	(183,723,728.36)	(173,791,406.55)
Adjustments to Reconcile Operating Results to Net Cash:		
Depreciation and Amortization Expense	73,377,371.67	65,185,601.94
Bad Debt Expense	-	172,074.40
Changes in Assets and Liabilities:		
Accounts Receivable	7,404,768.69	(11,525,693.05)
Inventories	(34,267.25)	15,795.40
Loans and Contracts	(440,975.62)	26,211.64
Other Current and Noncurrent Assets	(1,578,622.99)	2,556,045.66
Accounts Payable	1,395,475.54	(1,279,587.75)
Due to System	330,145.14	362,777.46
Unearned Revenue	7,323,063.13	5,092,180.71
Assets Held for Others	61,322.97	(106,473.18)
Employees' Compensable Leave	1,168,452.33	14,616.45
Other Current and Noncurrent Liabilities	(19,362.24)	12,228.97
Total Adjustments	88,987,371.37	60,525,778.65
Net Cash Provided (Used) by Operating Activities	(94,736,356.99)	(113,265,627.90)
Non Cash Transactions:		
Net Increase (Decrease) in Fair Value of Investments	35,819,835.66	(10,297,078.25)
Capital Assets Acquired Under Capital Lease Purchases	-	315,585.91
Miscellaneous Noncash Transactions	(422,267.65)	(1,906,765.38)